# Netflix: User segmentation

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## Netfilx

### 1. About the Product

Netflix is a subscription-based streaming service offering a vast library of movies, TV shows, documentaries, and original content. Netflix, a global streaming leader, boasts over 230 million subscribers across more than 190 countries,  and serves a diverse audience with localized and global content. Key features include personalization, multiple viewing profiles, offline downloads, and AI-powered recommendations.

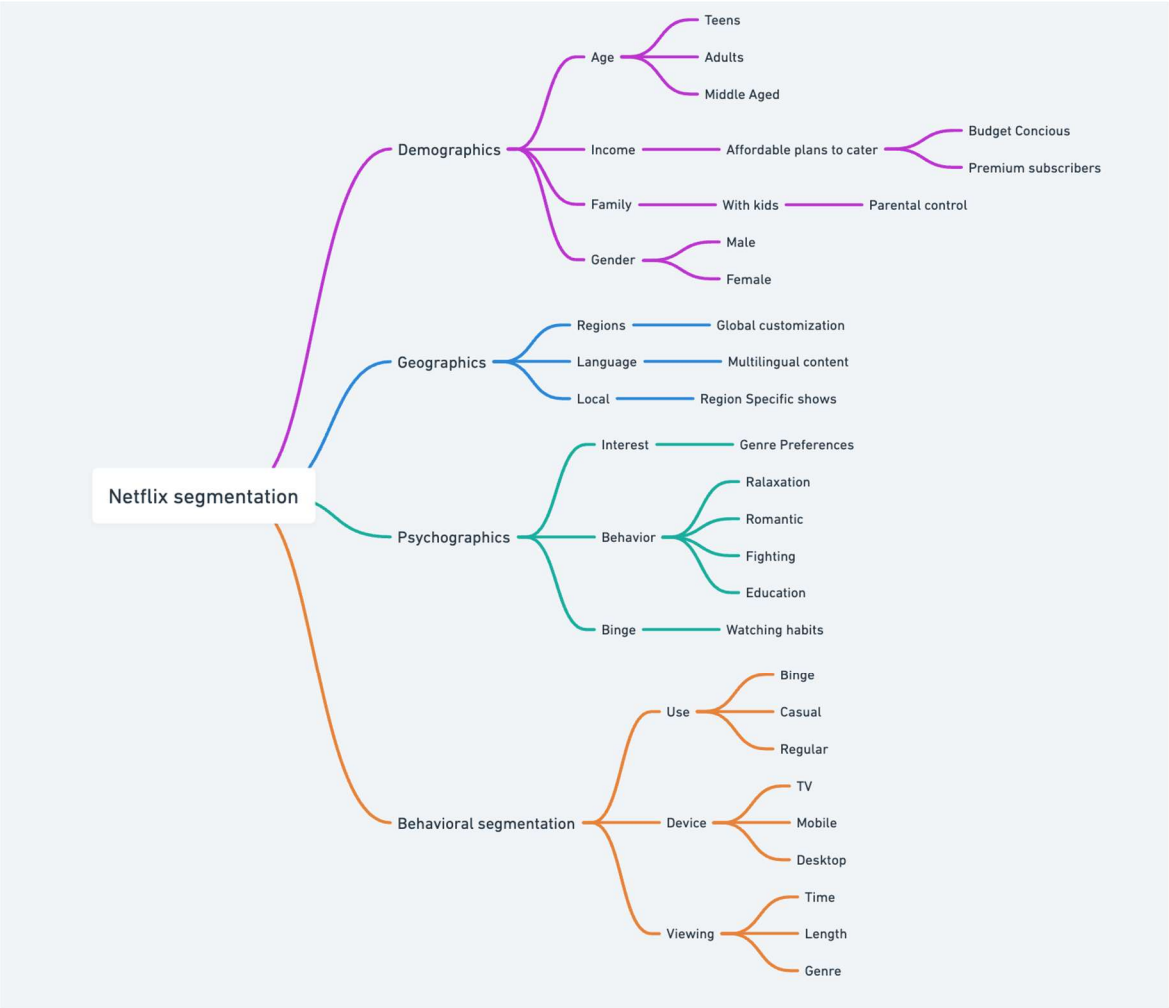
Netflix’s success stems from a robust content library, strategic investments in original programming, and a data-driven approach to personalized recommendations. In 2024, Netflix's brand value was estimated at $22.8 billion, reflecting its significant market presence.

The company's commitment to high-quality, diverse content and innovative user experiences has solidified its position in the competitive streaming industry.

## 2. Broad Segmentation

Netflix's user base can initially be segmented into broad categories:

- **Demographics**:
  - Age: Teens, Millennials, Gen X, Boomers
  - Income Levels: Budget-conscious to premium users
  - Gender: Male, Female, Non-binary
- **Geographics**:
  - Countries: US, India, Japan, etc.
  - Urban vs. Rural: Internet penetration-driven segmentation
- **Psychographics**:
  - Preferences: Content genres (action, romance, thriller)
  - Lifestyle: Casual viewers vs. binge-watchers
- **Behavioral**:
  - Frequency of use: Daily, Weekly, Sporadic users
  - Engagement: High-interaction vs. dormant users



## 3. Reasons and Goals for User Segmentation

**Why Segment Users?**

- Personalized Experience: Cater recommendations, notifications, and UI/UX design to specific user preferences.
- Targeted Marketing: Run cost-effective and high-ROI campaigns by targeting users with tailored ads.
- Content Strategy: Develop and acquire content based on user preferences in various segments.
- Retention and Growth: Reduce churn by addressing segment-specific concerns and boosting engagement.

**Goals:**

- Increase user satisfaction through hyper-personalization.
- Optimize content investments by aligning with user demand.
- Drive growth in emerging markets by understanding their unique preferences.

## 4. Detailed Segmentation:

In Product Management, Segmentation means identifying the market to be segmented for a product and dividing customers into segments or groups based on different characteristics. Segmentation can also vary with time, mood, customer, company etc.

Different factors involved are-:

**A) Demographic Segmentation**

1. Age:
    - Teens: Content like animated series, young adult dramas, and action-adventure.
    - Adults: Thrillers, dramas, documentaries, and comedy shows.

    - Middle-Aged: Classic movies, family dramas, and health-related content.
2. Income:
    - Budget-Conscious: Affordable subscription plans, especially mobile-only plans in emerging markets.
    - Premium Subscribers: 4K content, multi-user profiles, and ad-free viewing.
3. Family:
    - With Kids: Dedicated kid-friendly profiles and parental control features.
4. Gender:
    - Male and female audiences with targeted recommendations for genre preferences.

**B) Geographic Segmentation**

1. Regions:
    - Global customization based on country-specific preferences and regulations.
2. Language:
    - Multilingual content for diverse audiences (e.g., Spanish for Latin America, Hindi for India).
3. Local:
    - Region-specific shows and movies (e.g., *Squid Game* in Korea, *Lupin* in France).

**C) Psychographic Segmentation**

1. Interest:
    - Genre Preferences: Catering to romance, action, sci-fi, mystery, and more.
    - Relaxation: Light-hearted content like comedies and feel-good movies.
    - Romantic: Romantic dramas, reality dating shows, and rom-coms.
    - Fighting: Action and martial arts content for thrill-seekers.

- Education: Documentaries, biographies, and historical series.

2. Behavior:
    - Users are driven by emotional triggers such as relaxation, thrill, or nostalgia.
3. Binge:
    - Viewing habits of binge-watchers who consume multiple episodes or movies in a single sitting.

**D) Behavioral Segmentation**

1. Use:
    - Binge Users: Frequent, long-duration users who consume multiple episodes at a time.
    - Casual Users: Watch occasionally, often sticking to movies or trending shows.
    - Regular Users: Balanced consumption of series, movies, and documentaries.
2. Device:
    - TV: Users who prefer high-quality, large-screen experiences.
    - Mobile: Audience on-the-go or in regions with mobile-specific plans.
    - Desktop: Traditional viewers using laptops or PCs.
3. Viewing:
    - Time: Segmentation based on time of day (morning viewers vs. night owls).
    - Length: Preference for shorter episodes vs. full-length feature films.
    - Genre: Genre-specific audiences consuming targeted types of content

## 5. RFM Analysis

Recency (R) :

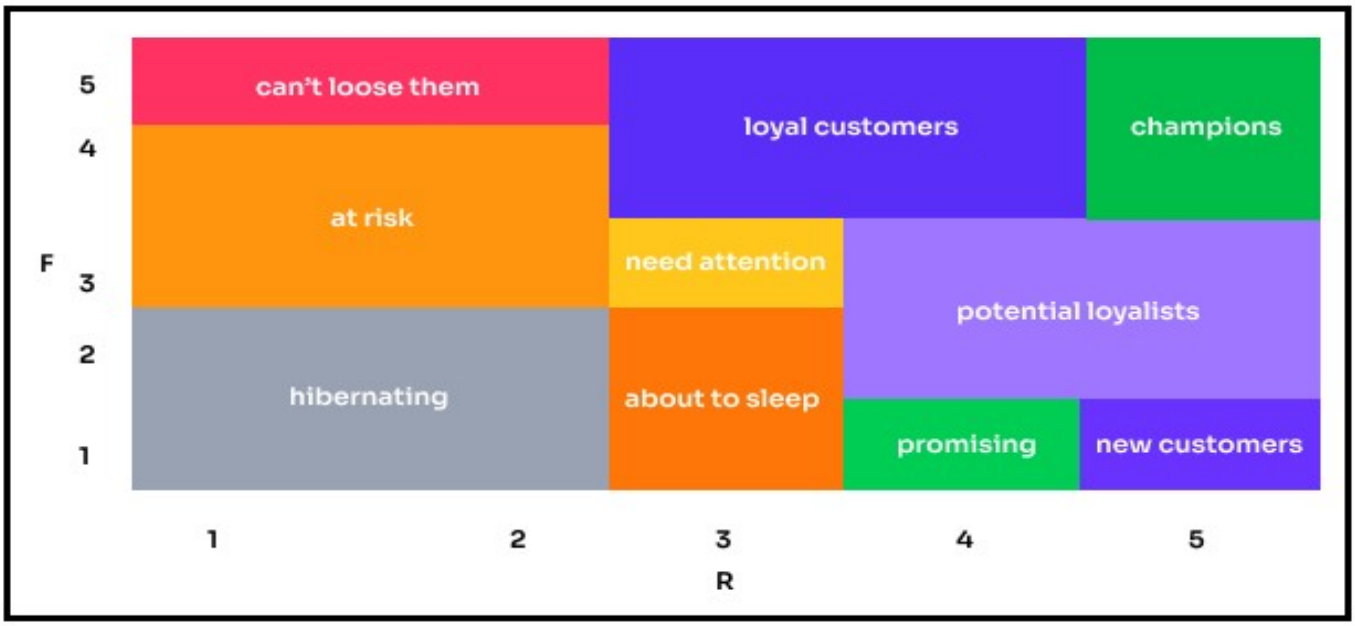
- Frequent Watchers: Viewed content in the last 7 days; recommend similar shows.
- Inactive Users: No activity for 30+ days; send re-engagement emails with new releases.
- Days- What the time period in days when the user last watched or streamed any show

Frequency (F):

- Daily Users: Engage daily or multiple times a day; offer sneak peeks of upcoming content.
- Occasional Users: Watch 1-2 times a month; recommend curated lists or trending content.
- Streams/month - Number of streams per month is considered to be the Frequency of the user.

Monetary (M):

- Money paid / total streaming hours - As the monetary value of a customer who uses the streaming server less will be higher .
- Premium Users: Subscribe to higher-tier plans; provide exclusive perks like early access to originals.
- Basic Plan Users: Use budget-friendly options; upsell by highlighting benefits of upgrades (e.g., higher resolution, more screens).




**RFM Score**

| User Segment | Recency (days) | Frequency (F) (streams/month) | Monetary (M) (money paid/total streaming hours) | RFM Score (addition) | Segment |
|---|---|---|---|---|---|
| User A (Active Daily) | 5 | 5 | 5 | 15 | Champion |
| User B (Active Weekly) | 4 | 3 | 3 | 10 | Loyal Customer |
| User C (Inactive 3 mo.) | 2 | 1 | 2 | 5 | At Risk |

| | | | | | |
|---|---|---|---|---|---|
| User D (Trial User) | 5 | 2 | 1 | 8 | Potential Loyalist |
| User E (Trial User) | 1 | 1 | 1 | 3 | Hibernating |

## 6. Key Takeaways/Conclusion

Netflix's segmentation allows it to:

1. Deliver a highly personalized viewing experience.
2. Maximize content ROI by catering to diverse preferences.
3. Adapt its strategies to specific markets and user behaviors.

This user-focused approach ensures Netflix remains a leader in the streaming industry.